15th October, 2026

To,

The Manager (Listing), **The BSE Ltd.** **Mumbai**	The Manager (Listing), **National Stock Exchange of India Ltd.** **Mumbai**
Company's Scrip Code: 505700	**Company's Scrip Code: ELECON**

Sub. : Communication to Shareholders – Interim Dividend for FY 2026-27 - Intimation on Tax Deduction at Source (TDS) / withholding tax on Interim Dividend

Dear Sir/Madam,

With reference to the subject referred matter, please find enclosed herewith an email communication which has been sent to all the shareholders having their email ID's registered with the Company/Depositories explaining the process and documentation required for claiming tax exemption/withholding tax on dividend to be paid to the Shareholders at prescribed rates.

You are requested to take the same on your records.
Thanking you.

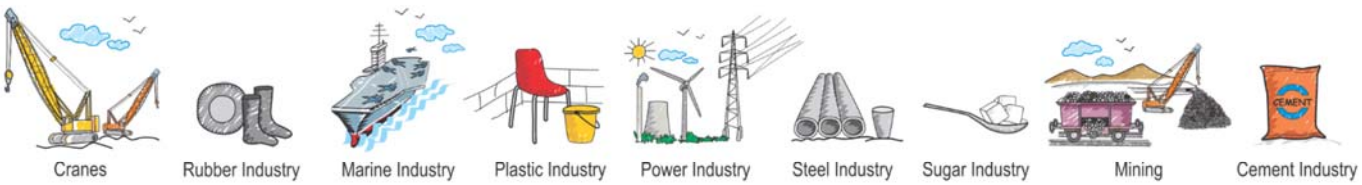
Yours faithfully,
For Elecon Engineering Company Limited,

Isarani Bhartiben Lalitkumar
Digitally signed by Isarani Bhartiben Lalitkumar
Date: 2026.10.15 16:04:12 +05'30'

Elecon Engineering Company Limited
V.V. NAGAR

Bharti Isarani
Company Secretary & Compliance Officer

Encl.: As above



ELECON ENGINEERING COMPANY LIMITED

(CIN: L29100GJ1960PLC001082)
Registered Office: Anand-Sojitra Road, Vallabh Vidyanagar 388 120, Dist. Anand, Gujarat
Email: investor.relations@elecon.com; **Website**: www.elecon.com
Phone: 02692-238701 / 238702

Date: 15/10/2026

Subject: Communication of deduction of Tax at Source on Dividend

Dear Shareholder,

We wish to inform you that the Board of Directors ("the Board") of Elecon Engineering Company Limited ("the Company") in their meeting held on 14th October, 2026 has approved declaration of interim dividend of Re. 0.50/- (i.e. 50%) per Equity Share having face value of Re. 1.00/- each for the financial year 2026-27.

The interim dividend will be paid to the shareholders who hold equity shares of the Company as on Record Date i.e. 21st October, 2026.

Pursuant to implementation of the Income Tax Act, 2025, ("the Act"), dividend paid or distributed by a Company is taxable in the hands of the shareholders. The Company shall therefore be required to deduct tax at source at the time of payment of dividend. The deduction of tax at source will be based on the category of shareholders and subject to fulfilment of conditions as provided herein below:

- **For resident shareholders**

Tax will be deducted at source ("TDS") under Section 393(1) [Table: S.No.7] read with Section 393(4) [Table Sr. no. 10] of the Act @ 10% on the amount of dividend payable unless exempt under any of the provisions of the Act. However, in case of individuals, TDS would not apply if the aggregate of total dividend distributed to them by the Company during financial year does not exceed Rs. 10,000/-.

Tax at source will not be deducted in cases where a shareholder provides Form 121, provided that the eligibility conditions are being met. Blank Form 121 can be downloaded from the link given at the end of this communication. Please note that all fields mentioned in the Form are mandatory and Company may reject the forms submitted, if it does not fulfil the requirement of law.

Needless to mention, valid Permanent Account Number ("PAN") will be mandatorily required. Shareholders who do not have PAN or PAN is not linked with Aadhar, TDS would be deducted at higher rates u/s 397(2) of the Act.

NIL / lower tax shall be deducted on the dividend payable to following resident shareholders on submission of self-declaration (as per format attached) as listed below:

i. **Insurance companies:** Declaration (refer format) by shareholder qualifying as Insurer as per Section 2(7A) of the Insurance Act, 1938 alongwith self-attested copy of PAN card;

ii. **Mutual Funds:** Declaration (refer format) by Mutual Fund shareholder eligible for exemption under Schedule VII (Table: Sl. No. 20 or 21) to Section 11 of the Income-Tax Act, 2025 alongwith self-attested copies of registration documents and PAN card;
iii. **Alternative Investment Fund (AIF) established in India:** Declaration (refer format) that the shareholder is eligible for exemption under Schedule V [Table: Sl. No. 1] to Section 11 of the Act and they are established as Category I or Category II AIF under the SEBI Regulations. Copy of self-attested registration documents and PAN card should be provided.
iv. **New Pension System Trust:** Declaration (refer format) alongwith self-attested copy of documentary evidence supporting the exemption and self-attested copy of PAN card.
v. **Other shareholders** – Declaration (refer format) alongwith self-attested copy of documentary evidence supporting the exemption and self-attested copy of PAN card.
vi. Shareholders who have provided a valid certificate issued u/s. 395(1) of the Act for lower/ nil rate of deduction or an exemption certificate issued by the Income Tax Authorities alongwith Declaration (refer format).

- **For non-resident shareholders (including Foreign Institutional Investors and Foreign Portfolio Investors)**

Tax is required to be withheld in accordance with the provisions of Section 393(2) [Table Sl. No 17] read with Section 207(1) [Table Sl. No. 1] of the Act at applicable rates in force. As per the relevant provisions of the Act, the tax shall be withheld @ 20% (plus applicable surcharge and cess) on the amount of dividend payable. In case non-resident shareholders provide a certificate issued under Section 395(1) of the Act, for lower / NIL withholding taxes, rate specified in the said certificate shall be considered, on submission of self-attested copy of the same. However, as per Section 159 of the Act, a non-resident shareholder has the option to be governed by the provisions of the Double Tax Avoidance Agreement ("DTAA") between India and the country of tax residence of the shareholder, if they are more beneficial to the shareholder. For this purpose, i.e. to avail the tax treaty benefits, the non-resident shareholder will have to provide the following:

i. Self-attested copy of PAN card, if any, allotted by the Indian Income Tax Authorities; In case PAN is not available, the non-resident shareholder shall furnish (a) name, (b) e-mail ID, (c) contact number, (d) address in residency country, (e) Tax Identification Number of the residency country (link of format attached);
ii. Self-attested copy of Tax Residency Certificate ("TRC") obtained from the tax authorities of the country of which the shareholder is resident;
iii. Digital Form 41;
iv. Self-declaration (refer format) by the non-resident shareholder of meeting treaty eligibility requirement and satisfying beneficial ownership requirement;
v. In case of Foreign Institutional Investors and Foreign Portfolio Investors, self-attested copy of SEBI registration certificate;
vi. In case of shareholder being tax resident of Singapore, please furnish the letter issued by the competent authority or any other evidences demonstrating the non-applicability of Article 24 - Limitation of Relief under India-Singapore Double Taxation Avoidance Agreement (DTAA).

The self-declarations referred to in point nos. (iii) to (iv) can be downloaded from the link given at the end of this communication.

Application of beneficial DTAA rate shall depend upon the completeness and satisfactory review by the Company, of the documents submitted by non- resident shareholders and meeting requirement of Act read with applicable tax treaty. In absence of the same, the Company will not be obligated to apply the beneficial DTAA rates at the time of tax deduction on dividend amounts.

- **Section 397(2) of the Act**

Rate of TDS at the rate of 10 percent under Section 393(1) [Table: S.No.7] read with Section 393(4) [Table Sr. no. 10] of the Act which is subject to provisions of Section 397(2) of the Act which introduces special provisions for TDS where PAN provided by deductee is Invalid. Invalid PAN also includes cases where PAN and Aadhar are not linked.

As provided in Section 397(2)(b)(i) of the Act, tax is required to be deducted at higher of following rates in case of payments to specified person:

- at twice the rate specified in the relevant provisions of the Act; or
- at twice the rate or rates in force; or
- at the rate of 20%.

Accordingly, provisions of Section 397(2) will be applicable in cases where PAN of the shareholder is Invalid or PAN - Aadhaar not linked. Therefore, as per the Section 262 of the Act 2025, individual shareholders are requested to link their Aadhaar number with PAN to avoid deduction of tax at higher rates.

To enable us to determine the appropriate TDS / withholding tax rate applicable, we request you to provide the above details and documents on or before 21st October, 2026.

To summarise, dividend will be paid after deducting the tax at source as under:

i. NIL for resident shareholders receiving dividend upto Rs.10,000/- or in case Form 121 alongwith self-attested copy of the PAN card linked to Aadhar is submitted.
ii. 10% for other resident shareholders in case copy of PAN card is provided/available.
iii. NIL / lower withholding tax rate for resident shareholders on submission of self-attested copy of the certificate issued under Section 395(1) of the Act.
iv. 20% for resident shareholders if copy of PAN card is not provided / not available / PAN is not linked to Aadhar.
v. Tax will be assessed on the basis of documents submitted by the non-resident shareholders.
vi. 20% plus applicable surcharge and cess for non-resident shareholders in case the relevant documents are not submitted.
vii. Lower/ NIL TDS on submission of self-attested copy of the valid certificate issued under Section 395(1) of the Act.

Clearing member should ensure that as on record date no shares are lying in their account and shares are transferred to respective shareholder's account so that dividend is credited directly to shareholder's account and not to the clearing member's account. In terms of Rule 203 of Income Tax Rules 2026, if dividend income on which tax has been deducted at source is assessable in the hands of a person other than the deductee, then such deductee should file declaration (refer format) with the Company in the manner prescribed by the Rules on or before 21st October, 2026. The Company will not accept any declarations referred to Rule 203 of Income Tax Rules, 2026 after 21st October, 2026.

In case tax on dividend is deducted at a higher rate in the absence of receipt or defect in any of the aforementioned details / documents, you will be able to claim refund of the excess tax deducted by filing your income tax return. No claim shall lie against the Company for such taxes deducted.

- **For shareholders having multiple accounts under different status / category:**

Shareholders holding Equity Shares under multiple accounts under different status / category and single PAN, may note that, higher of the tax as applicable to status in which shares are held under a PAN will be considered on their entire holding in different accounts.

- **Updation of PAN, email address and other details**

Shareholders holding shares in dematerialized mode, are requested to update their records such as tax residential status, permanent account number (PAN), registered email addresses, mobile numbers and other details with their relevant depositories through their depository participants. Shareholders holding shares in physical mode are requested to furnish details to the Company's Registrar and Share Transfer Agent (RTA) namely MUFG Intime India Private Limited (formerly known as 'Link Intime India Private Limited') (MUFG). The Company is obligated to deduct tax at source (TDS) based on the records available with RTA and **no request will be entertained for revision of TDS return of the Company.**

Kindly note that the aforementioned documents should be uploaded with MUFG Intime India Private Limited, the Registrar and Transfer Agent (RTA) athttps://web.in.mpms.mufg.com/formsreg/submission-of-Form-121-41.html *or emailed to* to investor.helpdesk@in.mpms.mufg.com

No communication on the tax determination / deduction shall be entertained after 21st October, 2026.

- **Update of Bank account details:**

While on the subject, we request you to submit / update your bank account details with your Depository Participant, in case you are holding shares in the electronic form. In case your shareholding is in the physical form, you will have to submit a scanned copy of a covering letter, duly signed by you, alongwith a cancelled cheque leaf with your name and bank account details and a copy of your PAN card, duly self-attested, with MUFG Intime India Private Limited. This will facilitate receipt of dividend directly into your bank account. In case the cancelled cheque leaf does not bear your name, please attach a copy of the bank pass-book statement, duly self-attested.

We seek your co-operation in the matter.

Your sincerely,
For Elecon Engineering Company Limited,

Bharti Isarani
Company Secretary

Enclosed – Form 121
Enclosed – self declaration (Resident shareholder)
Enclosed – self declaration (Non-resident shareholder)
Enclosed – declaration under Rule 217

Disclaimer: The information set out herein above is included for general information purposes only and does not constitute legal or tax advice. Since the tax consequences are dependent on facts and

circumstances of each case, the investors are advised to consult their own tax consultant with respect to specific tax implications arising out of receipt of dividend.

Note: This is a system generated e-mail. Please do not reply to this e-mail.

FORM NO. 121

[*See* rule 211]

Declaration under section 393(6) for receipt of certain incomes without deduction of tax

PART A

[To be Filled by the person for receipt of certain incomes without deduction of tax]

Details of the declarant					
1.	Name			*(refer Note 1)*	
2.	Address			*(refer Note 2)*	
3.	Permanent Account Number				
4.	Status			*(refer Note 3)*	
5.	Residential status			*(refer Note 4)*	
5(a).	If resident individual, whether age is 60 years or more at any time during the tax year			*Yes/no*	
6.	Email id				
7.	Contact number			Country Code	Number
8.	Tax Year (for which declaration is made)				
Details of income					
9.	Nature of income			*(refer Note 5)*	
10.	Estimated income for which declaration is made				
11.	Details of Form No. 121 other than this form filed during the tax year, if any			*(refer Note 6)*	
11(a).	Total number of Form No. 121 filed earlier				
11(b).	Aggregate amount of income for which Form No. 121 were filed				
12.	Aggregate amount of income for which declaration is made during the tax year [sum of column 10 and 11(b)]				
13.	Estimated total income of the tax year including the income mentioned in column 12			*(refer Note 7)*	
14.	Details of the ITR filed for previous two tax years				
	Sl. No.	Tax Year	Acknowledgment Number	Return Income	
	1.				
	2.				

DECLARATION

I..... having Permanent Account Number …… do hereby declare that

(i) to the best of my knowledge and belief what is stated above is correct, complete and is truly stated.

(ii) the incomes referred to in this form are not includible in the total income of any other person under sections 96 to 99.

(iii) tax on my estimated total income as referred to in column 13 of Part A (including the income referred to in column 12 of Part A) for tax year… will be nil.

(iv) my income as referred to in column 12 of Part A does not exceed the maximum amount not chargeable to tax for tax year….. (*not to be applicable in case of resident individual of age of sixty years or more at any time during the tax year*)

(v) in case this declaration is found to be false, I shall be liable to prosecution/penalty under the Act.

Place: …… Signature of the Declarant

Date: …… Name:

PART B

[Verification by the person who has received declaration(s) in Part-A from the declarant(s) and responsible for paying the income in respect of which this declaration is made]

	Details of the person responsible for paying income		
1.	Name	*(refer Note 1)*	
2.	Address	*(refer Note 2)*	
3.	Tax Deduction and Collection Account Number		
4.	Permanent Account Number		
5.	Email id		
6.	Contact number	Country Code	Number
7.	Tax Year		
Details of the declarant and the declarations received			
8.	Name of the declarant	*(refer Note 1)*	
9.	Permanent Account Number		
10.	Unique Identification Number		
11.	Date of Birth/Incorporation	*(dd/mm/yyyy)*	
12.	Address	*(refer Note 2)*	
13.	Email id		
14.	Contact number	Country Code	Number
15.	Estimated income for which declaration is made	*(as per column 10 of Part A)*	
16.	Estimated total income of the tax year of the declarant	*(as per column 13 of Part A)*	
17.	Aggregate amount of income for which declaration is made during the tax year	*(as per column 12 of Part A)*	
18.	Date on which declaration is received	*(dd/mm/yyyy)*	

DECLARATION

I (name of authorized person)……. having Permanent Account Number …… hereby certify that the information pertaining to the declarant(s) above has been duly furnished.

Place: …… Signature of the authorized person

Date: …… Name:

Notes:

1. In case of individual, the first, middle and last name shall be provided in full without any abbreviations. In any other case also, name shall be provided in full.
2. The address shall contain i. Country/Region, ii. Flat/Door/Building, iii. Road/Street/ Block/Sector, iv. PIN/ZIP Code, v. Post Office, vi. Area/locality, vii. District, viii. State.
3. Declaration can be furnished by an individual being a resident under section 393(6)[Table: Sl. No. 1] or by any person, not being a company or a firm or an individual covered in section 393(6)[Table: Sl. No. 1], under section 393(6)[Table: Sl. No. 2].
4. Fill 'residential status' as (i) Resident (ii) Non-resident (iii) Resident but not ordinarily resident.
5. This application is applicable for following incomes, please fill as applicable:
   (a) payment of accumulated balance due to an employee participating in recognized provident fund
   (b) insurance commission for soliciting or procuring insurance business including business related to continuance, renewal, or revival of the insurance policies.
   (c) rent from a specified person
   (d) income in respect of (i) units of a mutual fund, or (ii) units from the Administrator of the specified undertaking, or (iii) units from the specified company
   (e) interest on securities, interest other than interest on securities by a banking company or a co-operative society carrying on the business of banking or interest by a post office for a deposit made under a scheme notified by the Central Government or by Specified person
   (f) payment in respect of life insurance policy including the sum allocated as bonus on such policy
   (g) dividend (including dividend on preference shares) declared by domestic company

   Refer Section 393(6) for more details.

6. In case any declaration(s) in Form No, 121 is filed before filing this declaration during the tax year, mention the total number of such Form No. 121 filed along with the total amount of income for which said declaration(s) have been filed.

7. Please mention amount of estimated total income of the tax year for which declaration is filed including the amount of income for which this declaration and earlier declaration(s), if any, is made.

8. The person responsible for paying income referred to in row no. 10 of Part A shall allot a unique identification number to all Form No. 121 received by him during a quarter of the tax year and report the same in TDS statement furnished for the same quarter.

9. The person responsible for paying income referred to in row no. 10 of Part A shall accept the declaration where the tax on declarant's estimated total income as referred to in row no. 13 of Part A of the tax year will be nil.

10. Estimated total income shall be calculated after allowing for deduction(s) under Chapter VIII of the Act, if any, or set off of loss, if any, under the head "Income from house property" and rebate allowable under section 156.

11. For a declarant other than the resident individual whose age is 60 years or more at any time during the tax year, the person responsible for paying income referred to in row no. 10 of Part A shall not accept the declaration where the amount of income of the nature referred to in section 393(6) or total amount of such income credited or paid or likely to be credited or paid during the tax year in which such income is to be included exceeds the maximum amount which is not chargeable to tax.

12. Before signing the verification, the declarant should satisfy himself that the information furnished in the declaration is true, correct and complete in all respects. Any person making a false statement in the declaration shall be liable to prosecution under section *482*.

13. Some of the information in the form would be pre-filled to the extent possible.

14. Amounts to be filled in ₹ unless otherwise provided.

Annexure-2

on letterhead of the shareholder>

Date: << Please fill>>
Name and address of Company

Sub: Declaration with regards to dividend income

Ref: PAN – << Please fill>>

Folio Number / DP ID / Client ID – <<Please provide all the account details>>

With reference to the captioned subject and in relation to the appropriate withholding of taxes on the Dividend payable to me / us by ____ ("the Company"), I / We hereby declare as under:

1. I / We, _____ (name of shareholder) holding equity share(s) of the Company, hereby declare that I am /we are tax resident of India for Tax Year (TY) 2026-27.

2. We hereby declare that (Select Applicable Box in left):

☐ - We are Insurance Company as per section 2(7A) of the Insurance Act, 1938 and are the beneficial owner of the equity share(s) held in the Company; and we are eligible for exemption from withholding taxes under section 393(1) [Table: S.No.7] read with section 393(4) [Table Sr. no. 10] of the Act; and we are submitting self-attested copy of PAN card and registration certificate with IRDA / LIC / GIC, as applicable.

☐ - We are Mutual Fund specified in Section under Schedule VII (Table: Sl. No. 20 or 21) to section 11 of the Income-tax Act, 2025 ("Act") and are the beneficial owner of the equity share(s) held in the Company; and we are therefore eligible for exemption from withholding taxes as per section 393 of the IT Act; and we are submitting self-attested copy of PAN card and registration certificate with SEBI (if registered with SEBI) or certificate indicating a Mutual Fund is set up by public sector bank / PFI / authorized by RBI being notified by Central Government

☐ - We are Alternative Investment fund ("AIF") established in India and are the beneficial owner of the equity share(s) held in the Company; and our income is exempt under Schedule V [Table: Sl. No. 1] to Section 11 of the Act and as specified in CBDT Notification No. 51/2015 of the Income Tax Act, 1961[1]; and are governed by Securities and Exchange Board of India regulations as Category I or Category II AIF; and we are submitting self-attested copy of the PAN card and registration certificate.

☐ - We are an <<category of the entity>> covered by clause <<please fill >> of paragraph 4 of Circular 18/2017[1] of the Income Tax Act, 1961[1]; and our income is unconditionally exempt and also, we are not statutorily required to file an Income tax return and are the beneficial owner of the equity share(s) held in the Company; and are not subject to withholding tax as per said CBDT circular and we are submitting self-attested copy of the documentary evidence supporting the exemption status along with self-attested copy of PAN card.

☐ - Other category - we are exempted from withholding of Tax u/ss 393(1) [Table: S.No.7] read with section 393(4) [Table Sr. no. 10] of the Act and we are submitting self-attested copy of the documentary evidence supporting the exemption status along with self-attested copy of PAN card documents.

[1] Circular is valid and effective as on the date in accordance with provision of section 536(2)(j) of Income-tax Act, 2025

☐ - We declare that in terms of Rule 203 of Income Tax Rules 2026, dividend income on which tax is liable to be deducted at source is assessable in the hands of a person other than me and to comply with Rule203we are enclosing declaration in **Annexure 1**.

3. I/We have obtained a Certificate issued u/s. 395(1) of the Act for lower / nil rate of deduction or an exemption certificate issued by income tax authorities and enclosed herewith.

4. I/ We shall, further, indemnify the Company for any consequences arising out of any acts of commission or omission including incorrect declaration basis which the Company has acted upon by relying on my/ our above averment.

5. I/ We hereby confirm that the above declaration should be applicable for all the equity shares held in the Company under PAN/ accounts declared in the form

For ……

Name of shareholder or Authorized Signatory
Name and Designation

Date:
Place:

#Kindly strikethrough whichever is not applicable

Annexure 1

Declaration by Joint Shareholders under Rule 203 of the Income tax Rules, 2026*

I_____the primary shareholder (Joint Shareholder 1) of _____shares of _____ as on <<>> (the record date for Final dividend payout for F.Y.2025-26) against_____(DPID & Folio No) do hereby request the company to provide the credit of Tax Deducted at source on the dividend payouts by the Company, separately to the joint shareholders (beneficiary shareholder) of the said shares as per the following information given in this regard.

The reason for such request is that the beneficial ownership of shares that are held by below mentioned Joint shareholders (Total number of___shares). The details are provided as under:

No.	Particulars	Joint Shareholder 1	Joint shareholder 2
1.	Name of the Joint shareholder (beneficiary shareholder):		
2.	PAN of Joint shareholder		
3.	Percentage of shares held by the Joint Shareholder (beneficiary shareholder)		
4.	Residential Status of Joint shareholder in India for T.Y. 2026-27		
5.	Country of Tax Residence of Joint shareholder for T.Y. 2026-27 in case residential status as mentioned in (4) above is other than India		
6.	Address of the joint shareholder		
7.	Email id of Joint shareholder		
8.	Telephone Number of Joint shareholders		

We hereby validate the above-mentioned information and we do hereby declare that to the best of my knowledge and belief what is stated above is correct complete and is truly stated. We undertake to indemnify for any tax liability (including but not limited to interest and penalty) that may arise on you in future on account of non-deduction of tax at source on the basis of the above declaration furnished by us.

Signature of Joint Shareholder 1 Signature of Joint Shareholder 2

Notes:

- In case of additional Joint shareholder, necessary columns can be added and signed.

The company will consider the information as available with the depositories (NSDL/CDSL) or by the Registrar and Share Transfer Agent (Link Intime India Private Limited) as on the record date. We request you to kindly verify the correctness of the records and for any changes to update the same with your depository participant (if you hold shares in dematerialized mode) or the Registrar and Share Transfer Agent (if you hold shares in physical mode). In case of mismatch of any data as declared above with the Depositories/Registrar & Share Transfer Agent, the company will not consider the above declaration for further processing.

**For the purpose of credit for tax deducted at source on dividends paid by _____ to its joint shareholders, a declaration duly signed by all of them, stating the below facts needs to be obtained by the Company for every dividend payout as per Income Tax Rules, 2026[1].*

[1] **Rule 203: Credit for tax deducted at source for the purposes of section 390.** (1) Credit for tax deducted at source and paid to the Central Government in accordance with the provisions of Chapter XIX, shall be given to the person to whom payment has been made or credit has been given (hereinafter referred to as deductee) on the basis of information relating to deduction of tax furnished by the deductor to the income-tax authority or the person authorized by such authority.

(2)(i) Where under any provisions of the Act, the whole or any part of the income on which tax has been deducted at source is assessable in the hands of a person other than the deductee, credit for the whole or any part of the tax deducted at source, as the case may be, shall be given to the other person and not to the deductee:

Provided that the deductee files a declaration with the deductor and the deductor reports the tax deduction in the name of the other person in the information relating to deduction of tax referred to in sub-rule (1).

(ii) The declaration filed by the deductee under clause (i) shall contain the name, address, permanent account number of the person to whom credit is to be given, payment or credit in relation to which credit is to be given and reasons for giving credit to such person.

(iii) The deductor shall issue the certificate for deduction of tax at source in the name of the person in whose name credit is shown in the information relating to deduction of tax referred to in sub-rule (1) and shall keep the declaration in his safe custody.

Annexure-3

<<on letterhead of Company>>

Letter in case a Foreign Company does not have a “PE” in India

Date:

To
Elecon Engineering Company Limited

Dear Sir/ Ma’am

Folio No./ DP.Id – Client Id:

This is to certify that:

1. <Insert company’s name>, is a body corporate incorporated and registered in <Name of the country > under the laws of <mention Name of the country>.

2. We, << Name of the shareholder >> confirm that we are a tax resident of <<Insert country>> and are eligible to claim benefits of the India -<< Insert country>> Double Tax Avoidance Agreement (DTAA), read with the provisions laid down in Multilateral Instrument (MLI), wherever applicable.

3. Our taxpayer identification number / unique number in <<COR>> is _____.

4. Our tax residency certificate number is _____ and copy of our certificate of tax residency/document evidencing country of residency for the period ____ to _____ is enclosed herewith.

5. We, <<Name of the shareholder >> are the beneficial owner of the shares allotted in above folio no. as well as of the dividend arising from such shareholding.

6. I/We further declare that I/we have the right to use and enjoy the dividend received/ receivable from the above shares and such right is not constrained by any contractual and/ or legal obligation to pass on such dividend to another person.

7. We either do not have a Permanent Establishment (P.E.) in India or Dividend income earned by us in not attributable/effectively connected to our P.E. in India as defined under the Income-tax Act, 2025 and DTAA between India and <Name of Country> read with the provisions laid down in Multilateral Instruments (MLI), wherever applicable, during the financial year <<<Year>>>. We further confirm that we do not have any business connection in India as per provisions of Income-tax Act 2025. In the event of we having a P.E. in India or Dividend income is attributable/effectively connected to such P.E., we acknowledge our obligation to inform you forthwith with necessary details.

8. I/We specifically confirm that my affairs/affairs of <<full name of the shareholder>> were not arranged such that the main purpose or the principal purpose thereof was to obtain tax benefits available under the applicable tax treaty read with respective MLI, as applicable.

9. We hereby declare that no arrangement / transaction has been undertaken for the purpose of obtaining any benefits under the DTAA which results into non-taxation or reduced taxation through tax evasion or tax avoidance (including treaty shopping arrangements) or any other means and that the provisions of GAAR and anti-avoidance provisions as prescribed under the DTAA between India and <<COR>> are satisfied.

10. Our claim for relief under the tax treaty/MLI is not restricted by application of Limitation of Benefit clause, if any, thereunder.

11. We confirm that the above declaration is true and correct and is applicable for Tax Year 2026-27.

12. We <Name of the company> further indemnify for any penal consequences arising out of any acts of commission or omission initiated by Elecon Engineering Company Limited by relying on our above averment.

Thanking you,

Yours Sincerely,

For <company's name>

_____

Name: <Insert Authorised person name>

< Insert designation>

Annexure-4

Information to be provided under sub-rule (2) of rule 217 of Income-tax Rules, 2026:

I . . . .(Person signing this form) in the capacity of . . . . . (designation of the person signing the form) do provide the following information, relevant to the tax year 2026-27 in my case/in the case of …….. for the purposes of sub-rule (2) of rule 217 (Relaxation from deduction of tax at higher rate under section 397(2)) —

Sl. No.	*Nature of information*	:	*Details#*
(*i*)	Name, e-mail id and contact number of the Non-resident	:	(a) Name: (b) E-mail id: (c) Contact Number:
(*ii*)	Address of the assessee in the country or territory outside India of which Non-resident is resident of	:	……
(*iii*)	Certificate of Tax Residency attached (Yes/No)	:	……..
(*iv*)	Assessee' s tax identification number in the country or specified territory of residence and if there is no such number, then, a unique number on the basis of which the person is identified by the Government of the country or the specified territory of which the assessee claims to be a resident	:	……..

We undertake to indemnify for any tax liability (including but not limited to interest and penalty) that may arise on you in future on account of non-deduction of tax at source based on the above declaration furnished by me/us.

Place: .....

Date: .....

.....

Signature & Seal